

Professorship of Corporate Law
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Introduction to Business Law

Trade Law

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Trade Law

Revision questions

Case 1a)

- Prokura

Case 1b)

- Commercial letter of confirmation

Case 1c)

- Limitation of prokura
- § 56 HGB

Case 1d)

- § 377 HGB
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What is the prerequisite for trade law to apply?

- Trade law = Special private law for merchants
- Merchant = Owner of a company acc. to §§ 1-5 HGB or trading company acc. to § 6 HGB
- HGB is applicable when at least one party (§ 345 HGB), in some cases both parties (§§ 346, 352 f., 369, 377 HGB) is/are merchant/s.
- A merchant needs to act in a legal transaction or operate a trade or commercial business

Revision questions

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**Name two special types of agency regulated in trade law.
Please explain their main characteristics.**

Prokura §§ 48 et seqq. HGB	Store power of attorney § 56 HGB
• Legally granted power of representation	
Scope of application & conditions: • Must be granted by owner of business or representative • Enables all types of judicial and extrajudicial transactions and legal acts apart from fundamental decisions	Scope of application & conditions: • Person employed in store/warehouse, which is open to public (with knowledge + consent of owner) • Authority to sell, receive or undertake any transaction customary to the type of store • Good faith
• Not restrictable vis-à-vis third parties for smooth processing of transactions	• Excludable by special notice in store

How can silence lead to a contract in trade law?

- **Principle:** Silence in response to a declaration of intent has no legal effect
- **Exception:**
 - **Commercial letter of confirmation**
 - Letter from a merchant to another merchant in which the content of an allegedly concluded contract is reproduced to secure evidence
 - In case the recipient does not immediately object to this letter, the contract was concluded with the content of the confirmation letter
 - **§ 362 HGB**

Case 1a) – Case facts

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Electrician E is the owner and operator of an electrical store. Since she has a lot to do and cannot manage everything on her own, she declares her employee P to be Prokurist and has this information entered in the commercial register. E hopes that this measure will relieve some of the burden on her day-to-day work.

When E needs a new supply of light bulbs, P writes the following email with his official email account to supplier S:

“Dear S,
I hereby want to order 250 light bulbs at a price of 2€. Please let me know, if this is possible.
Best regards, ppa. P“

Question: Did P effectively represent E?

Note: Assume that E, S and W are merchants.

Case 1b) – Case facts

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After receiving the email, S calls and tries to persuade P to buy twice the amount of light bulbs. P insists that only 250 are needed due to capacity reasons. At the end of the call, they agree on a quantity of 250 light bulbs at a unit price of 2€.

The next day, E receives a letter in which S refers to the conclusion of a contract for 500 light bulbs. Secretly S hopes that E will change her mind or at least not notice the different amount but E is visibly surprised by the letter. Nevertheless, E does not manage to reply due to stress and forgets about the letter.

Later, S delivers 500 light bulbs and demands payment of 1,000€. E is furious and counters that her employee P ordered only 250 light bulbs.

Question: Is E obliged to pay 1,000€ to S for the light bulbs?

Case 1c) – Case facts

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Even though electrician E and her employee P have had some trouble recently, P can keep his Prokura and remains registered in the commercial register. However, E wants to restrict P's authority to act on her behalf and prohibits P from making purchases worth more than 5,000€ without prior consent.

When E is on vacation, P is in charge of the business. He checks the inventory and finds that he needs to buy 1km of electrical cable with a diameter of 5mm (price 6,000€) from electronics wholesaler W. P goes to W's showroom and buys the cable from W's employee M.

E returns from her vacation three weeks later and finds the invoice for 6,000€. E feels betrayed by P and W and does not want to acknowledge the contract with W.

Question: Is E obliged to pay 6,000€ to W for the cable?

Case 1d) – Case facts

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When the cable that P had ordered arrives on 1st July, E is on an important business trip and not on site. Therefore, P accepts the delivery. However, P still has a guilty conscience about having forced this order on E for 6,000€ and moves the cable drum to the farthest corner of the warehouse to suppress this embarrassment.

Two weeks later, P can no longer avoid it and has to process the cable. Only then does P notice that the delivery bill of the cable shows a diameter of 3mm. So P has to give his boss E another piece of bad news.

Question: Can E demand cure (in form of re-delivery of the cable)?